IonQ, Inc. (NYSE: IONQ)

Technology · Quantum Computing (trapped-ion) · Equity Research · 03 Jun 2026 · MPM Research Desk

Metric	Value	Metric	Value
Rating	REDUCE (Medium conviction)	CMP	$71.40
12-mo Target	$60 (-16%)	Market Cap	$26.65 Bn
Horizon	12 months	52-Wk Range	$25.89 - $84.64
TTM Revenue	$187.1 M (+335% YoY)	P/S (FY25)	125x
Net cash	$2.36 Bn (~debt-free)	Beta	3.18
FY25 ROE / ROIC	-24.4% / -27.7%	Street	Strong Buy · PT $67.6

One-line thesis: Best-capitalised quantum pure-play with explosive bookings — but priced at 125x sales with a target already below CMP.

Note: All financials from stockanalysis.com (fetched 03 Jun 2026); figures in US$ millions unless stated. Forward marks tagged (E).

2 — INVESTMENT THESIS

• **Revenue is inflecting hard:** FY25 revenue tripled to $130.0M and TTM is $187.1M (+335% YoY); Q1'26 alone printed a record $64.7M (+755% YoY), beating the guide midpoint ~30%.

• **Bookings visibility is real:** remaining performance obligations grew +554% YoY to ~$470M and FY26 guidance was raised to $260-270M — the demand signal, not just the story, is strengthening.

• **Fortress balance sheet:** ~$2.4Bn net cash, essentially debt-free (D/E 0.01), funding a multi-year roadmap (256 qubits @ 99.99% by 2026 → 2M physical qubits by 2030) without near-term financing risk.

• **Near-term catalyst (6-12m):** commercial shipments of the 6th-gen 256-qubit chip-based system + execution on the DARPA HARQ program and SkyWater fab acquisition close.

• **Biggest structural risk:** valuation — 125x trailing sales with deep operating losses (-$634M FY25) and ~32% annual share dilution; the price already discounts flawless execution to 2030.

3 — BUSINESS OVERVIEW

• Trapped-ion quantum-computing pioneer selling QPU access via cloud (AWS Braket, Azure, GCP) and on-prem/enterprise systems; expanding into a full quantum stack: computing + networking + sensing + security.

• Revenue mix (Q1'26): ~60% commercial customers, ~35% international — a shift away from pure government/research toward enterprise monetisation.

• Aggressive M&A; roll-up: acquired Oxford Ionics ($1.075Bn, Oct-25), plus Skyloom, Vector Atomic, Capella Space, ID Quantique, Lightsynq, Qubitekk; agreed to acquire SkyWater (US semiconductor fab) to vertically integrate chip supply.

• Order/visibility: remaining performance obligations ~$470M (+554% YoY) underpin multi-year revenue; selected for DARPA HARQ (modular quantum networking).

• Ownership: institutions 53.8%, insiders 0.5% — externally-funded, founder-light cap table; CEO Niccolo de Masi (no controlling promoter — a US-listed widely-held company).

4 — INDUSTRY & COMPETITIVE LANDSCAPE

• Quantum computing TAM is early and forecast-dependent: industry estimates cluster around $1Tn+ of cumulative economic value by 2035, but near-term revenue pools are tiny and grant/POC-led.

• Tailwinds: sovereign quantum funding (US, EU, Gulf), DARPA/defence programs, and an arms-race in 'quantum advantage' claims. Headwind: no proven fault-tolerant commercial use case yet — revenue is largely access + services, not at-scale utility.

• Moat — Pricing power: **Weak** (pre-utility, grant-priced). Switching costs: **Moderate** (deep R&D; integrations). Scale/IP: **Strong** (trapped-ion IP + Oxford Ionics + acquisitions). Distribution: **Strong** (all three hyperscaler clouds).

• IonQ is the revenue leader among listed pure-plays — ~15-18x the trailing revenue of Rigetti or D-Wave — but all three trade on triple-digit sales multiples.

Pure-play peer	Mkt Cap	TTM Rev	P/S (~)	FY25 ROE	Beta
IonQ (IONQ)	$26.7 Bn	$187.1 M	142x	-24.4%	3.18
Rigetti (RGTI)	$8.93 Bn	$10.0 M	~890x	N/A	1.90
D-Wave (QBTS)	$11.1 Bn	$12.4 M	~890x	N/A	2.05

Source: stockanalysis.com, fetched 03 Jun 2026. P/S on TTM revenue; peer ROE N/A where not meaningfully reported.

5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- CEO Niccolo de Masi (ex-Glu Mobile/dMY SPAC sponsor) — a capital-markets-savvy operator; the strategy is explicitly roll-up + equity-funded scale, not organic-only.
- Capital allocation: FY25 raised ~$3.36Bn of financing (equity) and deployed it into M&A; (Oxford Ionics $1.075Bn) and cash — a 'land-grab' model that trades dilution for option value.
- Dividend policy: none, and none expected — all capital reinvested.
- Dilution is the key governance watch-item: shares outstanding +32% YoY and stock-based comp of $312M in FY25 (>2x revenue) — shareholders are paying heavily for growth.
- No promoter pledge / promoter concept (US-listed, widely held). Governance flags: serial acquisitions raise integration and goodwill-impairment risk (Total Assets jumped to $6.57Bn, far above $2.4Bn cash — the rest is goodwill/intangibles).

6 — FINANCIAL DEEP-DIVE (US$ M; FY ends Dec)

Income Statement	FY23	FY24	FY25	FY26E	FY27E
Revenue	22.0	43.1	130.0	265 (E)	400 (E)
Gross Profit	13.9	22.5	52.5	100 (E)	150 (E)
Gross Margin %	63.2%	52.2%	40.4%	~38% (E)	~38% (E)
R&D; expense	92.3	136.8	305.7	~360 (E)	~410 (E)
Operating Income	-157.8	-232.5	-633.7	-680 (E)	-700 (E)
Net Income (rep.)	-157.8	-331.7	-510.4	net loss (E)	net loss (E)
EPS diluted ($)	-0.78	-1.56	-1.82	loss (E)	loss (E)

FY23-25 actuals: stockanalysis.com. FY26E revenue = company guidance $260-270M (midpoint shown); other (E) are directional MPM estimates — IonQ is pre-economic-model, so loss lines are not precisely forecastable.

Balance Sheet / Cash Flow	FY23	FY24	FY25
Cash & ST investments	355.4	340.3	2,392
Total Debt	8.1	17.7	30.0
Net Cash	347.3	322.6	2,362
Shareholders' Equity	485.0	383.9	3,814
Operating Cash Flow	-78.8	-105.7	-283.2
Capex	-13.7	-18.0	-16.4
Free Cash Flow	-92.5	-123.7	-299.6
Stock-based comp	69.7	106.9	312.0

- **Revenue trajectory:** 3-yr revenue CAGR ~140%; FY25 +202% on enterprise + international traction. Growth is the entire equity story.
- **Margins:** gross margin is *compressing* (63%→52%→40%) as lower-margin systems/services scale; operating margin is deeply negative (-487% FY25) as R&D; outruns revenue.
- **Balance sheet:** ~$2.4Bn net cash, near-debt-free, current ratio 15.5x — zero solvency risk; the FY25 asset jump to $6.6Bn is acquisition goodwill/intangibles, not cash.
- **FCF quality:** FCF -$300M FY25 and worsening; cash burn funded by equity, not operations — OCF/PAT conversion is irrelevant while pre-profit.

7 — EARNINGS QUALITY CHECKLIST

Check	Rating	Comment
TTM 'profit' quality	RED	TTM net income +$327M is a non-cash mirage — driven by ~$1,024M non-operating (warrant/derivative) gains; operating loss is -$830M.
Gross-margin trend	AMBER	Compressing 63%→40% as mix shifts to systems/services.
Dilution	RED	Shares +32% YoY; SBC $312M (>2x revenue).
Goodwill / intangibles	AMBER	Assets $6.6Bn vs $2.4Bn cash — ~$4Bn acquisition goodwill exposed to impairment.
Liquidity / solvency	GREEN	$2.4Bn net cash, current ratio 15.5x, ~debt-free.
Revenue recognition	AMBER	RPO +554% supports visibility, but partly grant/POC-led.
Cash generation	RED	FCF -$300M and worsening; equity-funded.

- **Headline 'P/E 77x' is meaningless** — earnings are a non-operating gain; value the company on sales/cash, not PE.
- Two RED items an investor must own: the dilution machine (SBC + share count) and the structural cash burn.
- Goodwill from the acquisition spree is the sleeper risk if quantum monetisation slips.

8 — VALUATION

Scenario	Key assumption	FY27 Rev	P/S	Target	vs CMP
Bull	Quantum-advantage proof; $450M rev, multiple holds	$450M	60x	$108	+51%
Base	Guidance compounds; $400M rev, multiple de-rates	$400M	36x	$60	-16%
Bear	Growth slows / dilution; $300M rev, re-rate to peers	$300M	20x	$24	-66%

- **Multiple-based:** at 36x our FY27E revenue of $400M on 373M+ shares (pre-further dilution) → ~$39Bn EV / ~$60 base-case 12-mo target.
- **DCF:** not meaningful — IonQ is pre-FCF; any DCF is dominated by a 2030+ terminal assumption (we treat it as option value, not a base case).
- **Cross-check:** Street average target is $67.6 — already ~5% *below* CMP, corroborating that the name is priced for perfection.
- Base-case 12-mo target **$60 (-16%)**; the asymmetry skews to downside unless quantum-advantage is demonstrably commercialised.

9 — KEY RISKS

- **Valuation de-rating:** 125x sales leaves no margin of safety. Prob: H · Impact: H · Monitor: EV/Sales vs revenue beats.
- **Dilution:** continued equity issuance + SBC erodes per-share value. Prob: H · Impact: M · Monitor: share count, SBC/revenue.
- **Technology / fault-tolerance miss:** roadmap (256-qubit, 2M by 2030) slips. Prob: M · Impact: H · Monitor: qubit count + 99.99% fidelity milestones.
- **Goodwill impairment:** ~$4Bn intangibles from M&A.; Prob: M · Impact: M · Monitor: segment revenue vs acquisition theses.
- **Commoditisation / Big Tech:** Google, IBM, Microsoft out-fund the category. Prob: M · Impact: H · Monitor: hyperscaler quantum roadmaps.
- **High beta / sentiment:** beta 3.18 — thematic flows can halve or double the stock. Prob: H · Impact: H · Monitor: rate cycle, risk appetite.

10 — RECOMMENDATION

- **Rating: REDUCE** (Medium conviction) — a phenomenal business momentum story attached to an unforgiving price.
- **12-month target: $60 (-16% from $71.40).**
- **Suggested entry zone (for thematic risk capital only): $35-45** — i.e. on a sentiment reset, not at highs.

• **Horizon:** 12 months (but this is a multi-year, binary-outcome holding by nature).

• **Thesis-invalidation triggers (would flip us constructive):** (1) demonstrable commercial quantum-advantage with paying scale; (2) FY27 revenue tracking >$500M with stable/expanding gross margin; (3) a credible path to FCF breakeven without further large dilution.

• **Ideal investor:** high-risk thematic / venture-style allocators sizing <1-2% who can withstand 50%+ drawdowns; NOT for value, income, or capital-preservation mandates.

APPENDIX — Latest Earnings Brief: Q1 FY2026 (reported 6 May 2026)

Built from IonQ's Q1'26 earnings release / 8-K (full transcript not deep-fetched for this US name).

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Record $64.7M rev, +755% YoY, beat guide ~30%
Management tone	Bullish	'Biggest quarter in company history'
Guidance delta	Raised	FY26 lifted to $260-270M

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1'26 was IonQ's biggest quarter ever — $64.7M revenue, +755% YoY, ~30% above the guide midpoint, and clean at the top line (this is real bookings, not an accounting artifact). Note the trailing 'profit' is a mirage: TTM net income is positive only because of ~$1.0Bn of non-cash warrant/derivative gains — the underlying operating loss is roughly -$830M TTM. Operationally the business is inflecting: RPO +554% YoY to ~$470M, ~60% commercial / 35% international, and the first 6th-gen 256-qubit chip-based system was sold. The multi-bagger driver is the full quantum stack (computing + networking + sensing + security) assembled via Oxford Ionics and the SkyWater fab deal, with a 2030 roadmap to 2M physical qubits. Near-term catalyst: DARPA HARQ execution and commercial 256-qubit shipments. The single biggest watch-point is valuation + dilution — 125x sales, ~32% annual share growth, $312M SBC. Action: **REDUCE / trim into strength**; only add thematic risk capital on a sentiment reset toward the high-$30s/$40s.

1 — Financial Performance Snapshot

- Revenue: $64.7M | YoY +755% | Beat (guide midpoint beaten ~30%).
- Gross margin: ~40% range (mix-driven) | trend: compressing.
- Operating result: net operating loss (R&D-led;) | In-line with build-out.
- NOTE: TTM reported net income +$327M includes ~$1,024M non-operating (warrant) gains; clean underlying = deep operating loss (~-$830M TTM).

2 — Segment / Geography

- Commercial customers: ~60% of revenue | shift toward enterprise monetisation.
- International: ~35% of revenue | sovereign / global quantum demand.

3 — Management Commentary Themes

- Scale roadmap: '256 physical qubits @ 99.99% by 2026; 2M by 2030' — Tag: GUIDANCE. Tone: Bullish.
- Full-stack vision: computing + networking + sensing + security via M&A; — Tag: EST. Tone: Confident.
- 'Biggest quarter in our company's history' — Tag: GUIDANCE. Tone: Bullish.

4 — Operating & Business Metrics

- RPO (bookings visibility): ~$470M | +554% YoY | Trend: improving.
- Systems milestone: first 6th-gen 256-qubit chip-based system sold | Trend: improving.
- Programs: selected for DARPA HARQ (modular networking) | Trend: improving.

5 — Margin Drivers

- Mix shift to systems/services: gross-margin dilutive | Recurring: Yes.
- R&D; scale-up ($306M FY25): widens operating loss | Recurring: Yes (investment phase).

6 — Guidance & Forward Signals

• FY26 revenue [GUIDANCE]: Prior ~$240M area | New $260-270M | Delta: raised | Credibility: Medium-High (RPO-backed).

7 — Capital Allocation

• Financing: ~$3.36Bn raised FY25 (equity) | deployed to M&A; + cash.

• M&A;: Oxford Ionics $1.075Bn; SkyWater fab agreed | vertical integration.

• Net debt movement: net cash built to ~$2.4Bn | Dividends/Buybacks: none.

8 — Q&A; Heat Map

• Analysts: Q: 'Path to commercial quantum advantage?' → A: roadmap-anchored, milestone-based | Tone: Transparent.

• Q: 'Dilution / cash runway?' → A: fortress balance sheet emphasised | Tone: Hedged (on dilution).

• Watch-list for next quarter: gross-margin trajectory; organic vs acquired revenue split.

9 — Risks Flagged

• Pre-utility revenue base: Flagged by mgmt/analysts | Prob: M | Impact: H | Timeline: medium-term.

• Integration of serial acquisitions | Flagged by analysts | Prob: M | Impact: M | near-medium.

10 — Analyst Verdict

• Revenue visibility: Intact — RPO +554%, guidance raised.

• Margin trajectory: Weakened — gross margin compressing on mix.

• Capital allocation quality: Cannot assess — aggressive equity-funded roll-up, unproven payback.

• Competitive moat: Intact — IP + full-stack + hyperscaler distribution.

• Management credibility: Intact — consistent beats and roadmap delivery.

• Valuation comfort: Broken — 125x sales, target below CMP.

• Conviction call: Unchanged — REDUCE (story strong, price stronger).

• Valuation snapshot: P/S = 125x (FY25) | EV/Sales ~ 130x | ROIC = -27.7% (FY25).